

Rollover

Roll over is not done in shares but in derivatives segment of share market. Derivatives are popularly known as "F &O" in Indian stock markets.

Whatever position you have taken in "futures" will be squared off at the end of the "futures" end date.

Instead you square off the position in near month and initiate a fresh position in "mid month" or "for month" in futures, is "Roll over".

Future contracts are always available in 3 different expiries- near month , mid month and far month. For

example, on NSE the near month contracts will end on 28th June 2007, mid month on 26th July and the for month on 30th Aug 2007.

Hence if you purchase / sell a futures contract now for near month, it will be automatically exercised on 28th June. Suppose before this, you square off and took a same position in July or Aug contracts, it will be called as "roll over".

Premium and Discount

A fund's NAV represents the market value of all securities owned by the portfolio plus all other assets minus liabilities and divided by the total